

NextEra Energy, Inc.

NEE NYSE

Buy	\$84.01 ▼ 2.13%	12M Price Target \$98.00	52-Week Range \$67.20 – \$98.75	Market Cap \$175.21B
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NEE: Reiterate Buy on AI Datacenter Power Demand Tailwind

WHAT'S CHANGED

- Insider Monkey flagged NEE as a beneficiary of Dominion acquisition dynamics and noted a sell-side target raise tied to deal progression — modestly supportive for sentiment despite today's -2.13% pullback to \$84.01.
- Options flow skews decisively bullish (P/C 0.48; ~10,715 calls vs 5,169 puts) with unusual deep-ITM June call buying suggesting institutional positioning for upside continuation.

IMPLICATIONS

The "AI Needs Power" narrative reiterated in today's coverage is the central thesis driver for NEE: as the largest US renewables developer with FPL as a regulated cash cow, NEE is uniquely positioned to monetize hyperscaler PPAs at premium rates. Today's -2.13% drift lower against a +1.14% Energy ETF print reflects rotation noise rather than fundamental change, with shares consolidating mid-range (\$84 vs 52-wk \$67-\$98) after last week's strength. Bullish options flow and reaffirmed institutional sponsorship (86.9% ownership) suggest dips are being accumulated ahead of summer load data and 2H renewables project announcements.

VALUATION

At \$84.01, NEE trades at ~23x FY26E EPS of \$3.65 and ~14.5x EV/EBITDA — a premium to regulated utility peers (~18x) justified by the Energy Resources segment's renewables growth runway. Our \$98 PT implies ~17% upside on a sum-of-the-parts: FPL at 20x regulated earnings plus Energy Resources at 25x growth earnings. Multiple expansion catalyst: confirmed hyperscaler datacenter PPA wins; contraction risk: IRA tax credit modifications under fiscal pressure.

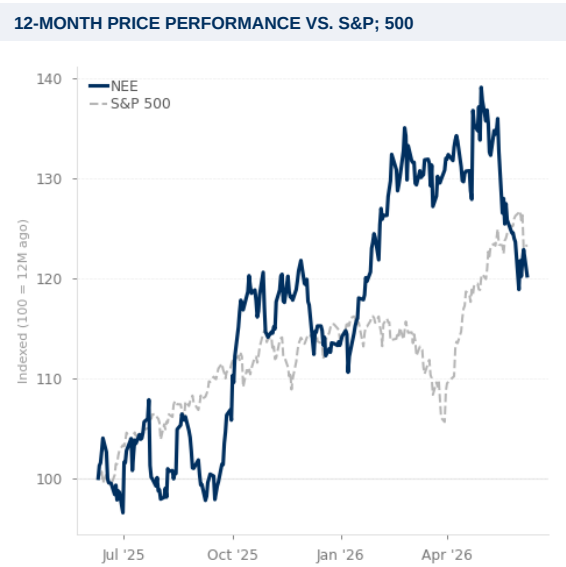
KEY RISKS

- Interest rate sensitivity — long-duration cash flows and ~\$80B debt load expose NEE to back-up in long-end yields
- Regulatory/political risk to renewable tax credits (PTC/ITC) under shifting federal policy
- Florida storm/hurricane exposure at FPL with peak Atlantic season approaching (June-November)

RECENT NEWS

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- Is Electrification Becoming GE Vernova's Most Valuable Business? Zacks · 2026-06-08 15:48
- Is Dominion Energy Stock Underperforming the Dow? Barchart · 2026-06-08 13:36

Key Data	
Price (USD)	\$84.01
12M Price Target	\$98.00
Upside / (Downside)	+16.7%
Market Cap	\$175.21B
FY2026E Revenue	\$27,800M
FY2027E Revenue	\$30,100M
FY2026E EPS	\$3.65
FY2027E EPS	\$3.98
Fwd P/E	23.0x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$90.00	\$86.00	\$80.00
6 Months	\$98.00	\$91.00	\$78.00
1 Year	\$108.00	\$98.00	\$75.00
2 Years	\$125.00	\$110.00	\$72.00
5 Years	\$165.00	\$140.00	\$85.00
10 Years	\$240.00	\$190.00	\$100.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+2.15%), Energy (+1.14%)

COLD SECTORS: Consumer Staples (-0.44%), Industrials (-0.32%)

ROTATION WATCH: Tech leadership combined with energy strength signals a "powering AI" trade where utilities serving datacenters bridge both themes — favorable setup for NEE despite today's drift.

BYPRODUCT PLAY: Grid equipment (GEV, ETN), transmission operators, and natural gas peakers benefit alongside renewables developers as datacenter load forecasts get revised upward through 2030.

OUTPERFORMERS & PEER CONTEXT

- GEV (GE Vernova): Zacks coverage today highlighting electrification as its most valuable segment — direct read-through to grid capex tailwind benefiting NEE's transmission build
- D (Dominion Energy): Despite Barchart noting underperformance vs Dow, deal-related catalysts cited as supportive for utility M&A backdrop

NEE CONTEXT: NEE is holding at 53% of 52-wk range while utility peers exhibit mixed action — relative stability with bullish options skew suggests NEE is being positioned as the cleanest AI-power pure play, not lagging.

INVESTMENT STRATEGY

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$80-84 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: FPL ROE compression, renewables tax credit repeal, or >10% EPS guidance cut

Hedging: Pair long NEE vs short higher-multiple IPP peer or XLU puts